

Module 21.1: Stakeholders and ESG Factors

SCHWESERNOTES - BOOK 1

LOS 21.a: Compare the financial claims and motivations of lenders and shareholders.

A company's lenders (debtholders) have a legal, contractual claim to the interest and principal payments the company has promised to make. Owners (equity holders) have a residual claim to the company's net assets (i.e., what remains after all other claims have been paid). That is, lenders have a higher priority of claims than equity owners. Because debt is less risky than equity, it is a less costly form of capital.

Both debtholders and equity holders can potentially lose their entire investment if a company fails, but their losses cannot exceed the amounts they have invested. A key difference between debt and equity investments is their upside potential. Regardless of a company's success, the best result debtholders can achieve is to receive the interest and principal payments promised by the company. Equity, on the other hand, has a theoretically unlimited upside if a company succeeds and grows over time.

The value of a company is the sum of the value of its debt and the value of its equity. As the company's value increases (assuming its value is greater than the value of its debt), the value of equity increases with it, while the value of debt is constant (i.e., no upside for debt investors from company growth). If the value of a company is less than the value of its debt, the value of its equity is zero, and the value of its debt is below the promised amount and moves with the value of the company (i.e., debt has downside exposure).

Example: Impact of leverage on return on equity (ROE)

A company with revenues of \$1,000 and operating expenses of \$800 needs to invest \$1,000 in assets. The assets can be 100% equity or a mix of 50/50 debt and equity. The interest rate on debt is 10% (assume no

taxes). Calculate the ROE under both financing scenarios.

Answer:

	100% Equity	50% Debt 50% Equity
Revenues	\$1,000	\$1,000
Cash operating expense	\$800	\$800
Interest expense	\$0	\$50
Net income	\$200	\$150
Equity	\$1,000	\$500
ROE	20%	30%

As can be seen in the previous example, increasing leverage (and therefore, risk) can increase the return on equity as long as the *expected* rate of return on assets exceeds the cost of debt. If things work out, and the actual return on assets is equal to or exceeds the cost of debt, the equity investors benefit from taking the risk. Debt investors, however, receive only their promised 10% interest (and the return of principal when the debt matures).

Example: Impact of a decrease in revenues

Continuing the previous example, calculate the company's ROE if its revenues decrease by 15%, assuming no change in cash operating expenses.

Answer:

	100% Equity	50% Debt
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50% Equity		
Revenues	\$850	\$850
Cash operating expense	\$800	\$800
Interest expense	\$0	\$50
Net income	\$50	\$0
Equity	\$1,000	\$500
ROE	5%	0%

Assuming no change in cash operating expenses, a 15% decrease in revenues would reduce the ROE to 5% (100% equity scenario) or to 0% (50/50 debt and equity scenario). If the decrease in revenues exceeded 15%, revenues would not have been enough to cover operating expenses, and debt investors would receive less than their promised 10% interest. Again, debt investors have no upside—only potential downside.

Because of the difference in their risk profiles, the interests of debtholders may conflict with the interests of equity holders. Debtholders are primarily concerned with a company's ability to repay its obligations and less concerned with its growth prospects. Equity holders may favor actions that increase a company's potential growth, but also increase its risk level, such as adding financial leverage by issuing new debt. Issuing additional debt as opposed to equity also prevents **dilution** of shareholders' proportional ownership. A company's existing debtholders may oppose such actions because increasing the company's risk (and the probability of defaulting on its debts) does not increase their expected return. Therefore, debt investors usually limit borrowers' actions by including contractual provisions such as maximum leverage or a minimum interest coverage ratio (known as *covenants*, which we will examine in the Fixed Income topic area) in debt agreements.

LOS 21.b: Describe a company's stakeholder groups and compare their interests.

Under **shareholder theory**, the primary focus of corporate governance is the interests of the firm's shareholders, which is to maximize the market value of the firm's common equity. Under this theory, corporate governance is primarily concerned with the conflict of interest between the firm's managers and its owners (shareholders).

The focus of corporate governance under **stakeholder theory** is broader. It considers conflicts among several groups that have an interest in the activities and performance of the firm.

Stakeholders of a Corporation

Shareholders have a *residual interest* in the corporation, in that they have claim to the net assets of the corporation after all liabilities have been settled. Shareholders have voting rights to elect the board of directors and for other important corporate matters, which gives them control over the firm and its management. They have an interest in ongoing profitability and growth of the firm that will increase the value of their ownership shares.

Lenders can be public or private debtholders. Public debtholders or **bondholders** supply debt capital to the firm and are primarily owners of the firm's outstanding bonds, while **private debtholders** such as banks extend loans, credit facilities, and leases to the firm.

Private debtholders may have access to nonpublic information from company management, which decreases information asymmetry. For this reason, private debtholders are a critical source of financing for small-to-medium-sized businesses. In some cases, private debtholders hold equity in the firm, allowing them to take a more equity-like approach to evaluating the company and potentially making them more amenable to changes in terms of the loans (i.e., covenants). By contrast, bondholders rely only on public information and have little to no influence over an issuer's operations. The interests of both types of lenders are protected to varying degrees by covenants in their debt agreements with the firm.

The **board of directors** is responsible for protecting the interests of shareholders; hiring, firing, and setting the compensation of the firm's senior managers; establishing the strategic direction of the firm; and monitoring the company's financial performance and other aspects of its ongoing activities.

Board members include **inside directors** (e.g., senior executives, founders) and **independent directors** who have no material relationship with the company. While inside directors may have conflicts of interest with shareholders, independent directors may better protect shareholders' interests.

In a **one-tier board structure**, both inside and independent directors serve on a single board. Major stock exchanges specify requirements for director independence, such as that most of the board should comprise independent directors. Other requirements may include diversity of backgrounds and competencies. In continental Europe, boards have a **two-tier structure** in which a **supervisory board** oversees a **management board** comprising inside directors.

Typically, board members are elected for a specified term (e.g., annual). In a **staggered board**, only a fraction of the board is elected each year. This decreases the power of shareholders to enact a major overhaul of the board. Firms with staggered boards justify them as providing continuity and allowing for a longer-term view of company strategy.

Senior managers typically receive compensation (remuneration) that is made up of a salary, a bonus based on some measure of company performance, and perks (e.g., expense accounts, use of company planes, special retirement benefits). Their interests can be expected to include continued employment and maximizing the total value of their compensation. Executive bonuses are typically tied to some measure of firm performance, giving senior managers a strong interest in the financial success of the firm.

Other employees are the **human capital** of the company, who provide their labor and skills. Employees also have an interest in the sustainability and success of the firm. They have interests in their rate of pay, opportunities for career advancement, training, and working conditions. Employees may hold equity in the company by participating in employee stock participation plans, which are designed to align their interests with those of the shareholders of the company. In some industries, employees join unions to negotiate the terms of their employment.

Suppliers of resources to the firm have an interest in preserving an ongoing relationship with the firm, in the profitability of their trade with the firm, and in the growth and ongoing stability of the firm. Because suppliers are typically short-term creditors of the firm, they also have an interest in the firm's solvency and ongoing financial strength.

Customers rely on the company to provide a good or service of high quality at a reasonable price. Customers may also have an interest in preserving an ongoing relationship to receive support and after-sale service. Maintaining the good will of customers is critical for the long-term prospects of any company. Customers increasingly care about environmental and social responsibilities of corporations.

Governments rely on corporations for tax revenue, economic growth, social welfare, and employment creation. Regulators have an interest in ensuring compliance with various laws.

LOS 21.c: Describe environmental, social, and governance factors of corporate issuers considered by investors.

Some debt and equity investors who take a stakeholder perspective are interested in evaluating companies' environmental, social, and governance (ESG) factors. This is primarily due to three reasons:

1. Government stakeholders increasingly prioritize climate change and social policies through regulatory changes.
2. ESG factors can have a material impact on companies' results through potential loss of customer good will and financial losses due to fines and judgments. Poor corporate governance may lead to senior managers exploiting shareholders to advance personal interests.
3. Many younger investors increasingly manage their wealth with ESG considerations in mind.

Negative externalities arise when a company or its investors do not bear the full cost of its actions (e.g., environmental damage). Increased government regulations and stakeholder awareness necessitate companies to recognize these costs, either explicitly in their financial statements or implicitly.

Environmental Factors

Environmental factors include company contributions to problems such as climate change, air and water pollution, deforestation, energy efficiency, waste management, or water scarcity. Material environmental factors can have a substantial impact on companies' operations or business models. Industries that are natural resource intensive have a direct impact on the environment, but other industries may have indirect impacts.

With respect to climate change, companies may face **physical risk** of adverse effects on assets or operations if severe weather increases in frequency, as well as **transition risk** as government regulations or consumer choices require switching from high-carbon to low-carbon activities. **Stranded assets** are those that become unviable due to such changes. Poor safety policies or inadequate governance systems increase the risks for adverse events such as oil spills and contamination of groundwater. The costs of penalties, cleanup, litigation, and loss of reputation can be significant risks for a company's investors.

Social Factors

Social factors include the protection of customer privacy and information security, customer satisfaction, employee engagement, diversity and inclusion, labor relations, and community relations. Social factors contribute to a company's image in terms of how it treats its employees, customers, and the communities in which it operates. Taking measures to decrease social risk can reduce a company's costs through higher employee productivity, lower turnover, increased customer loyalty, and less risk of litigation.

Governance

Corporate governance encompasses factors such as the composition of the board and the internal audit committee, executive compensation, bribery and corruption, political contributions, and lobbying. Corporate governance systems should have adequate checks to ensure that managers act ethically, lawfully, and in the interests of shareholders.

Evaluation of ESG Risks

Analysts should identify and measure the ESG-related risks to which a company may be exposed and how they can affect the company's future cash flows. Equity investors bear the brunt of the risk from adverse outcomes. Debt investors have less exposure to adverse events unless they result in losses large enough to bring about default. Not all debtholders are equally exposed to ESG risks. Because some such risks may be delayed (e.g., a coal-fired electricity plant that is currently in compliance may become obsolete in the future), longer-maturity debt investors may have more exposure than short-term debt investors.

Reading 21: Key Concepts

SCHWESERNOTES - BOOK 1

LOS 21.a

A company's debtholders have a higher priority of claims than its equity holders. Debtholders have a legal claim to the promised interest and principal payments. Equity holders have a residual claim to the company's net assets after debtholders have been paid.

Debt has limited upside potential because the best result for debtholders is to receive the promised principal and interest payments. Equity has theoretically unlimited upside potential. This difference may create conflicts of interest between debtholders and equity holders.

LOS 21.b

The primary stakeholders of a corporation include shareholders, debtholders, the board of directors, senior management, employees, creditors, suppliers, and government. Stakeholder theory postulates that a company needs to balance the interests of all stakeholders.

LOS 21.c

Environmental factors include company contributions to climate change, air and water pollution, deforestation, energy efficiency, waste management, and water scarcity.

Social factors include the protection of customer privacy and information security, customer satisfaction, employee engagement, diversity and inclusion, labor relations, and community relations.

Corporate governance factors include the composition of the board, executive compensation, the internal audit function, bribery and corruption, political contributions, and lobbying.